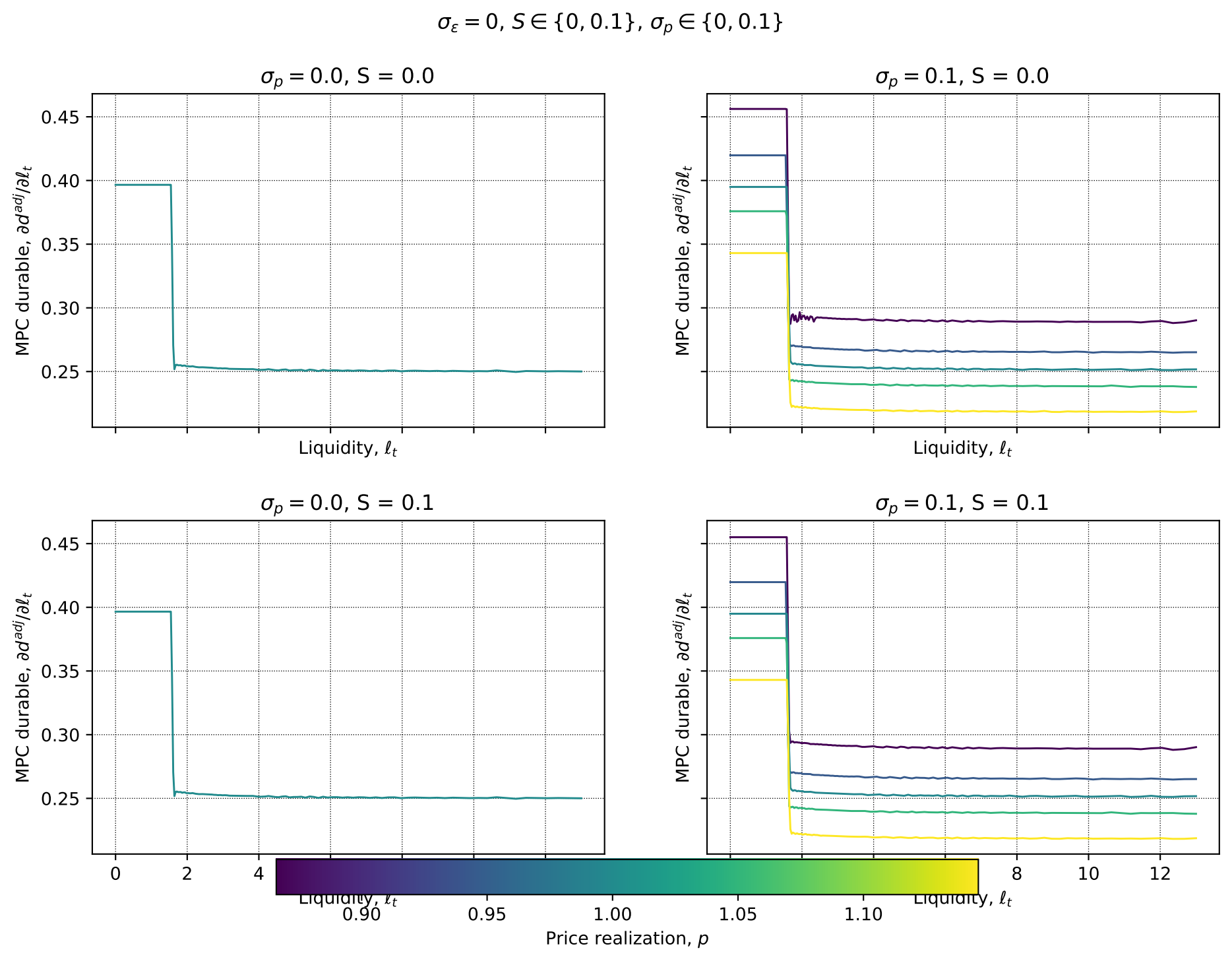
$\sigma_\epsilon = 0$, $S \in \{0, 0.1\}$, $\sigma_p \in \{0, 0.1\}$
$\sigma_p = 0.0$, S = 0.0
$\sigma_p = 0.1$, S = 0.0
$\sigma_p = 0.0$, S = 0.1
$\sigma_p = 0.1$, S = 0.1
MPC durable, $\partial d^{adj}/\partial \ell_t$
Liquidity, ℓ_t
0.45
0.40
0.35
0.30
0.25
0
2
4
8
10
12
0.90
0.95
1.00
1.05
1.10
Price realization, p